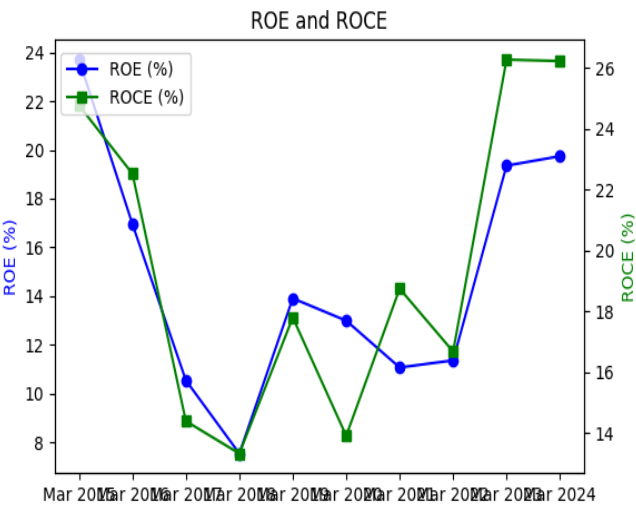
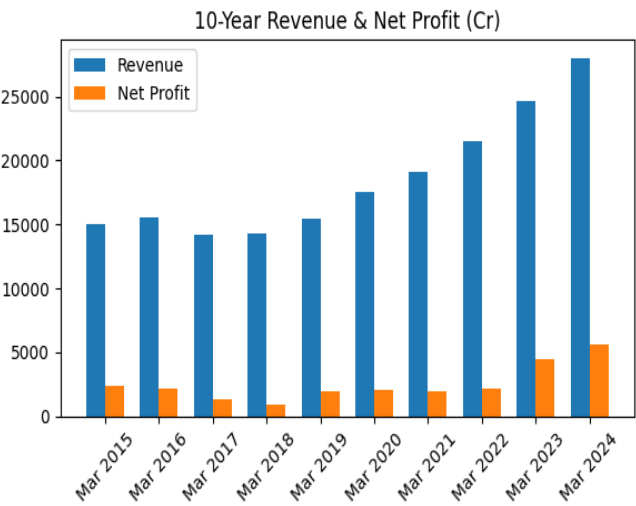
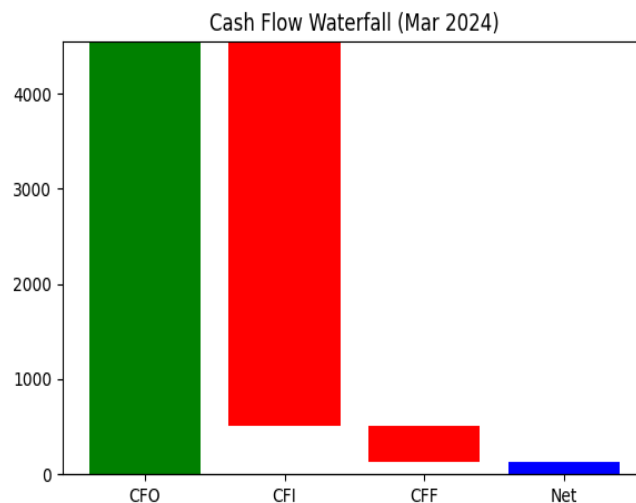
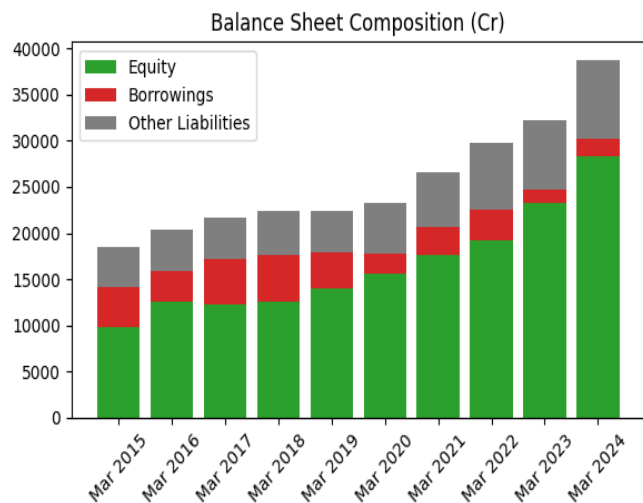


Dr Reddys Laboratories Ltd (DRREDDY)

Revenue ■31,229 Cr	Net Profit ■5,448 Cr	ROE 19.7%
ROCE 26.2%	CFO Quality High Quality	Allocation Shareholder Returns





Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Macro-economic headwinds may pose challenges to near-term growth

Capital Allocation Pattern: Shareholder Returns